

There are also bond issues convertible into either preferred or common or into a combination of certain amounts of each.⁸ Although any individual issue of this sort may turn out well, in general it may be said that complicated provisions of this sort should be avoided (both by issuing companies and by security buyers) because they tend to create confusion.

Bonds Convertible at the Option of the Company. The unending flood of variations in the terms of conversion and other privileges that developed during the 1920s made it difficult for the untrained investor to distinguish between the attractive, the merely harmless, and the positively harmful. Hence he proved an easy victim to unsound financing practices which in former times might have stood out as questionable because of their departure from the standard. As an example of this sort we cite the various Associated Gas and Electric Company "Convertible Obligations" which were made convertible by their terms into preferred or Class A stock *at the option of the company*. Such a contraption was nothing more than a preferred stock masquerading as a bond. If the purchasers were entirely aware of this fact and were willing to invest in the preferred stock, they would presumably have no cause to complain. But it goes without saying that an artifice of this kind lends itself far too readily to concealment and possible misrepresentation.⁹

⁸ See, for example, the Chicago, Milwaukee, St. Paul and Pacific Railroad Company Convertible Adjustment Mortgage 5s, Series A, due Jan. 1, 2000, which are convertible into 5 shares of the preferred and 5 shares of common. For other examples see p. 623 in the Appendix of the 1934 edition of this work.

⁹ These anomalous securities were variously entitled "investment certificates," "convertible debenture certificates," "interest-bearing allotment certificates," and "convertible obligations." In 1932 the company compelled the conversion of the large majority of them, but the holder was given an option (in addition to those already granted by the terms of the issues) of converting into equally anomalous "Convertible Obligations, Series A and B, due 2022," which are likewise convertible into stock at the option of the company. The company was deterred from compelling the conversion of some \$17,000,000 "5½% Investment Certificates" after Nov. 15, 1933, by a provision in the indenture for that issue prohibiting the exercise of the company's option in case dividends on the \$5.50 Dividend Series Preferred were in arrears (no dividends having been paid thereon since June 15, 1932).

It is interesting to note that the Pennsylvania Securities Commission prohibited the sale of these "Convertible Obligations" in December 1932 because of their objectionable provisions. The company resisted the Commission's order in the Federal District Court of